Metlen Energy & Metals PLC MTLN LN S

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by Pursewarden

			2026	2027
Price:	50.75	EPS	0	0
Shares Out. (in M):	143	P/E	0	0
Market Cap (in $M):	8,400	P/FCF	0	0
Net Debt (in $M):	3,600	EBIT	0	0
TEV (in $M):	12,000	TEV/EBIT	13	0
Borrow Cost:	Available 0-15% cost			

Description

Recommending SHORT MTLN LN for -40% downside. An overpriced commodity biz with optionality that it blows up.

MTLN is a Greek-HQ industrial conglomerate with an integrated aluminium/alumina biz, a Greek power utility, which in recent years has pivoted to an ambitious program of international renewables development partly via JVs and related parties.

A note on my approach. The disclosure of the company is poor, everything is grouped together. If you flick the prezo you will see they are abundantly keen for you to slap a multiple on group EBITDA, irregardless whether it came from smelting, the utility, energy trading, or even one-off gains on sale. In this memo I try to present a simplified framework for investors to consider the economic drivers of the business and what exposures they represent. This necessarily involves some estimates and simplifications – v open minded to pushback from anyone who disagrees.

The company traces its roots to the early 1900s as a metallurgy business in Piraeus, operated by the Mytilineos family. The current Chairman Evangelos Mytilineos is a third generation family member. The company has been listed in Athens since the 90s. Around this time they acquired an EPC/construction business. In fairness they didn't blow up during the GFC but in the last decade those operations have likely been lossmaking. In the early 2000s they acquired the Greek energy supply operations of Enel, operated today under the Protergia brand. The electricity side is probably a decent business standalone – they have the largest retail biz in Greece (c20% market share) with integrated generation via an efficient fleet of 3 CCGTs (also c20% share of Greek electricity production). They also operate a gas supply biz which has had chequered profitability given it relies on imports. At a similar time they also acquired Aluminium of Greece, which today operates smelting plants at Agios Nikolaos. The aluminium business professes to vertically integrated (discussed below).

In 2017 these three divisions merged into a single entity which complicated prior reporting. Then during the ESG boom the construction biz pivoted to become a renewables developer. This is the core equity story today – they plan to double EBITDA in the 'medium term' (read c6-7 years) by reinvesting cashflows from the smelting and the utility into an ambitious renewables capex program.

The group was rebranded from Mytilineos as Metlen in the runup to a 2025 relisting in London. The relisting did not raise fresh capital. The surge profits from Ukraine disruption to the aluminium market did net the Chairman a ceur140m windfall cash payout in 2022 (roughly ¼ of the group EBIT that year). He also disposed ceur250m of his holding in 2024. Today the Chairman owns c22% of the entity. The current incentive plan gives the Chairman and CEO 5% of any value creation (defined as market cap not share price, starting point is pre the relisting at c6.1bn) above a 2% annual hurdle. The plan is to be satisfied not via new share issuance, but via the company buying shares on the market and transferring these to the beneficiaries.

If you read FT Alphaville you will have seen that Bryce Elder has a bit of a vendetta against the company, having published 3 skeptical articles so far this year. When the FT goes to these lengths to question company accounting, related parties etc my working assumption is that they only publish 20% of the work they do, given it all has to be fully signed off by libel lawyers etc. You will see discussion of various JV and related party arrangements.

https://www.ft.com/content/4ced6dd7-aecc-4bb6-a09d-5d4ed713be45

https://www.ft.com/content/4e2f85ae-0b7d-4b31-aef1-abf8a7474e34

https://www.ft.com/content/822f160f-c059-4a3a-b27c-1eb053d7c2e6

My approach to shorting names like this is to establish whether the core biz has below average economics ie will earnings likely compound lower than the market over the mid-long term. If that is the case then a long term investor should be okay to be long the market short this biz. Second far more difficult part is of course establishing entry point, as on a 1-3yr view starting valuation matters as much as ROCE. And thirdly if you can have a host of red flags and unclear alignment with mgmt., you sit on a nice optionality that it blows up. The day they do something properly dodgy it will be in the FT.

Analysing the true economics of the business is difficult given the vague bundled reporting and restatements. The company deliberately makes it difficult to understand the earnings drivers in a given year. My framework is as follows. The core Greek utility is likely okay but low growth, with plenty of comps. Aluminium smelting is a commodity input-output business. And then we can take a view how much do we pay for the renewables pipeline.

MTLN split their reporting into three divisions: Energy, Metals, and Infra.

Energy bundles together the retail utility, a black box energy trading business (which seems to include gas import), and the renewables pipeline (including profits recognized on asset rotations). In 2025 Energy reported 443m of EBITDA and their broker MS projects c680m for 2026 rising to 840m by 2030, with c140m of D&A. See below from MS:

		FY-22	FY-23	FY-24	FY-25	FY-26e	FY-27e	FY-28e	FY-29e	FY-30e
M Energy Generation & Management	EURmn	169	147	248	220	179	158	143	136	122
M Energy Customer Solutions	EURmn	56	90	60	59	48	90	118	149	154
M Integrated Supply & Trading	EURmn	111	192	57	78	86	73	74	105	113
M Renewables	EURmn	141	240	349	421	413	406	344	367	398
M Power Projects	EURmn	77	97	39	-335	-45	55	55	55	55
Energy EBITDA	**EURmn**	**554**	**766**	**753**	**443**	**681**	**781**	**734**	**812**	**842**
DA	EURmn	-51	-70	-107	-144	-130	-130	-130	-130	-130
EBIT	**EURmn**	**503**	**696**	**646**	**299**	**551**	**651**	**604**	**682**	**712**
Sum first two rows		**225**	**237**	**308**	**279**	**227**	**248**	**261**	**285**	**276**
less illustrative D&A on CCGT		**-70**	**-70**	**-70**	**-70**	**-70**	**-70**	**-70**	**-70**	**-70**
Utility EBIT		**155**	**167**	**238**	**209**	**157**	**178**	**191**	**215**	**206**

They provide some splits within this but as you will see many of these activities are interrelated so leaves substantial scope for interpretation. But for the sake of argument we could isolate the utility to the first two line items – Generation and Management (the 3 CCGTs) and Customer Solutions (retail supply in Greece). Those two items both represent c20% Greek electricity consumption and are therefore balanced. I will estimate that ceur70m of depreciation sits against those 2GW of CCGTs, such that the utility does c200m of EBIT. Last 5yrs average has been c185m. The trading black box did 78m EBITDA last year, I will cover this with the smelting biz.

Metals – this is the aluminium production, plus nascent gallium and circular metals projects. Again from MS:

Financials		FY-18	FY-19	FY-20	FY-21	FY-22	FY-23	FY-24	FY-25	FY-26e	FY-27e	FY-28e	FY-29e	FY-30e
Revenue	**EURmn**	**551**	**594**	**499**	**668**	**817**	**942**	**857**	**907**	**994**	**1,590**	**2,401**	**2,553**	**2,541**
Alumina	EURmn	176	145	118	140	190	193	198	206	167	200	346	337	338
Aluminium (incl. premia)	EURmn	370	442	379	489	583	712	623	646	703	679	800	776	767
Gallium	EURmn								0	0	0	79	90	90
Other (Defence, Circular Metals)	EURmn	5	7	3	39	45	36	37	55	124	711	1,177	1,350	1,346
Checks														
EBITDA	**EURmn**	**162**	**164**	**136**	**159**	**270**	**248**	**297**	**225**	**269**	**405**	**730**	**739**	**739**
Alumina	EURmn	83	44	45	26	33	17	87	79	13	38	123	112	115
Aluminium	EURmn	83	117	88	119	221	217	199	127	237	257	320	302	298
Gallium	EURmn	0	0	0	0	0	0	0	0	0	0	59	68	68
Other (Defence, Circular Metals)	EURmn	-3	3	3	13	16	14	11	19	19	109	228	258	258
Margin	*%*	*29%*	*28%*	*27%*	*24%*	*33%*	*26%*	*35%*	*25%*	*27%*	*25%*	*30%*	*29%*	*29%*
D&A	**EURmn**	**-32**	**-35**	**-36**	**-35**	**-36**	**-40**	**-52**	**-42**	**-48**	**-59**	**-88**	**-92**	**-92**
EBIT	**EURmn**	**130**	**129**	**100**	**125**	**234**	**208**	**245**	**183**	**221**	**346**	**642**	**647**	**646**
Margin	*%*	*24%*	*22%*	*20%*	*19%*	*29%*	*22%*	*29%*	*20%*	*22%*	*22%*	*27%*	*25%*	*25%*
Trading EBITDA	EURmn					111	192	57	78	86	73	74	105	113
Total Metals EBITDA	EURmn					381	440	354	303	355	477	804	844	851
exc Gallium	EURmn					365	426	343	284	337	368	517	518	526

MTLN presents their metals biz as vertically integrated. In a sense it is as they have one power plant onsite, which removes the need to pay some transmission charges. However, I believe that the group ex renewables produces 7TWh of electricity annually via baseload CCGTs and requires c7TWh to supply via the utility. Separately the smelting consumes c3TWh and is a large predictable baseload customer. So whilst they may sell the electrons from the CCGTs to the smelter, they then have to procure additional electricity for the utility. So taken as a whole the group is not fully integrated. Hence the trading business. I find it more consistent to treat the utility as vertically integrated as this makes it easy to value against large EU utils comp set. Peers could include PPC, Enel, EDP, Naturgy, Endesa trading 11-14x EV/EBIT.

And then we can treat the metals biz as essentially earning a commodity spread between inputs (electricity, bauxite, carbon) and outputs (aluminium/alumina). It has access to bauxite mines in Greece, via (as far as I can tell indefinite) concessions from the Greek govt which currently supplies c1.2m annual tons of bauxite, with investment underway to expand capacity to 2m. Historically MTLN have been quite good at pivoting to the latest buzzword. They are currently pursuing a project to process gallium, also found within bauxite, which is a rare earth/critical mineral with associated defence/AI etc applications. And secondly, a project to produce aluminium related subcomponents for defence manufacture. This has received an initial grant of eur118m in the form of tax incentives from the Greek govt, as an offset to the capex to expand bauxite capacity to 2m. To me this looks partly opportunistic as the govt was able to waive EU state aid restrictions to expand the core smelting business by bundling the gallium/defence angle alongside it. Per the table above bulls think this could offer a new eur200m+ EBITDA stream in future. I'm not a mining expert and it sounds rather optimistic to me, but sure why not let's give them credit for now. Additionally MTLN have a 10Y contract with Rio Tinto for a further 1.5m/yr of bauxite ie they are not wholly integrated on the bauxite side either. Long term I would argue Europe is not the geography you would choose for an ideal aluminium production business from a cost curve perspective but let's not get into that. If you look back at old presentations from when the company was Athens-listed as Mytilineos you can see that the aluminium biz looks like a typical boom bust commodity (with a share price eur5-10). I paste one chart in the appendix. It also looks like perhaps capex was underinvested during the lean years. IMO the trading business should be considered within Metals, if we accept the framework that its function is to procure additional electricity for the group, to procure gas for the utility, and to procure additional bauxite. As investors we really care about the overall profits from these activities not whether margin is allocated to trading or production. Like many commodity traders the division made bumper profits in 2022/23, with a peak of 200m EBITDA. 5yr average is c100m. Comps for the metals division could include Norsk Hydro, Alco and Century trading on 5.5x, 4.5x and 4.5x NTM EV/EBITDA respectively.

Putting that together I value those businesses at 4.3bn today, plus 1bn for the gallium/defence in an upside scenario:

Utility	200	EBIT	12.0x	2400
Metals today	270	EBITDA	5.0x	1350
Associated trading	100	EBITDA	5.0x	500
Total				**4250**
Gallium/defence	200	EBITDA	5.0x	1000
Total				**5250**

Finally there is a small reporting segment called **Infrastructure & Concessions**. This is the non-renewables EPC/construction activity plus a few small infra concessions. I believe the largest is the Thessaloniki flyover which had a project cost of eur480m and of which MTLN owns 50%. In 2025 this segment did 100m EBITDA in total, I believe mostly via construction. Let's generously value at 750m. They have mentioned some plans to spin at some point.

What does that imply for the renewables? Per the H1 26 BS my EV adjustment is 3.1bn:

ST debt	867
LT debt	4347
Lease	223
Pension	10
Provision - onerous contracts and decomm	245
Cash	-2592
Total EV adj	**3099**
Trade payable	3301
Contract liabs	134
Derivatives	69
Current liabs	**3504**
Inventory	714
Contract assets	2260
Trade receivables	2639
Derivatives	113
Current assets	**5726**

Bulls will say that c1bn of the debt is in SPVs against the renewables assets. Bears will say that they have a large absolute w/c position, and don't earn much interest on cash given the construction activity likely manages to quarter end. They also have an undisclosed factoring balance and potential off-BS liabilities in their JVs. And a 245m provision for onerous contracts raises eyebrows. Shortly after their London listing last year, the company massively missed Q2 as they took a 135m writedown for a construction project delay which they hadn't thought to mention a few months earlier at the time of listing.

With 143m shares and a eur50 share price, the current mcap is 7.2bn. Which gives an EV of 10.3bn. Deducting the 4.3bn for the utility and metals per the above, 750m for the EPC, the market is assigning 5.3bn to the renewables buildout. Or 4.3bn if you credit the gallium/defence.

IMO this is much too punchy. MTLN's disclosed capex plan is eur2.5bn 2025-2028, a decent chunk of which (call it 1bn) is to support the expansion initiatives within metals discussed above. In FY25 they so far spent 690m across the group. So the market is already capitalizing multiples of future BV for renewables value creation in an increasingly competitive and commoditized sector. Said differently, cons EBITDA by 2029 (a year after the capex plan) is 1.5bn, up from 1bn for 2026. In MS numbers, 200m+ of that is coming from the metals division initiatives. So the implied EV on that incremental 300m of renewables EBITDA is 4.3-5.3bn, plus call it 1.8bn of remaining capex, so 6.1-7.1bn. Implying a multiple of 20x+ for the renewables once built:

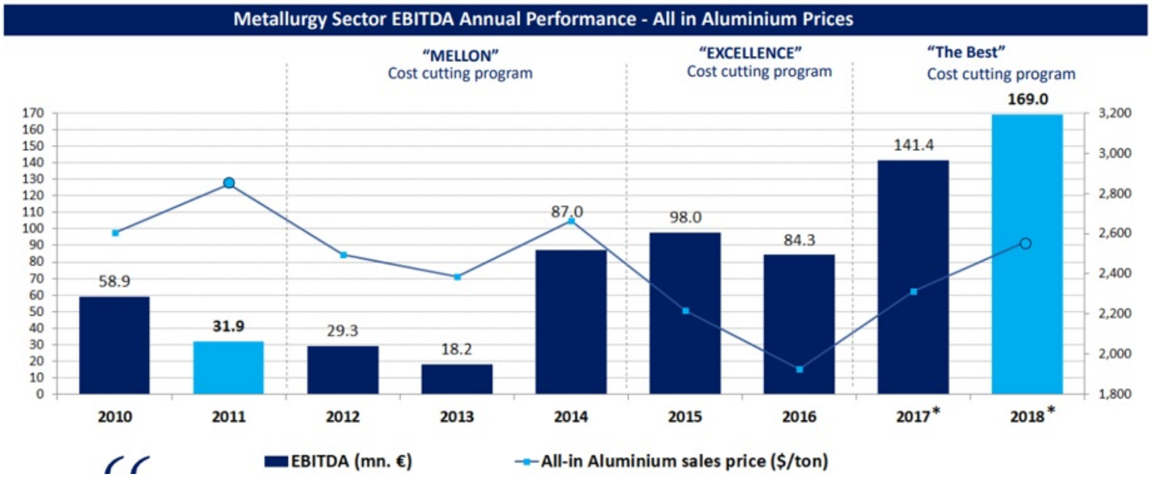
Range per above	4300	5300
Remaning capex	1800	1800
Imp EV	6100	7100
Inc renewables EBITDA	300	300
	20x	24x

As of today the majority of EBITDA recognized in the renewables division relates to one-off profits from asset rotations, or from external construction services. MS is modelling just 85m of EBITDA from generation in FY26. Reflecting the fact that the majority of the pipeline is currently not yet constructed.

And finally we can sense check the current spot multiple vs group EV of 10.3bn. Mgmt guidance this year is c1bn of EBITDA. D&A last year was 190m. So group is trading at c13x EBIT. Simply marking the current c370m of EBITDA from metals plus trading to peers on 5x, implies the rest of the biz is currently trading 20x EBITDA.

Target price 4.3bn for the utility and metals, 750m for EPC, 3bn for the renewables (generous 2x book), plus 1bn yolo credit for the new projects. Less 3.1bn current debt less 1.8bn remaining capex (FCF was negative last year and I am sceptical there will be much generated in next few years). Implies an equity value of 4.1bn or eur29/share, for -40% downside. 2018-19 this company was trading eur5-10/share before the hype train started. Plus you get a free look that you wake up one day and it's in the FT as the next Carillion.

Appendix: the aluminium business from 2018 prezo:



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Catalyst

Gravitation on valuation

Poor cash generation and leverage

Messages

No messages